ENTRY & EXIT LOGIC

Palani Andawar Trading System — SAR_EMA9_RSI Strategy

Strategy: 15-Minute NIFTY Options | Version: v3.0 | Generated: March 2026

Document Purpose: This document provides a visual, graph-oriented breakdown of all entry conditions (gates) and exit mechanisms (priority-ordered) used by the SAR_EMA9_RSI strategy on 15-minute NIFTY candles.

1. Entry Logic — High-Level Flow

Every potential entry must pass through **9 sequential gates**. If any gate fails, the signal is rejected. The diagram below shows the complete entry pipeline.

ENTRY SIGNAL PIPELINE — ALL GATES MUST PASS

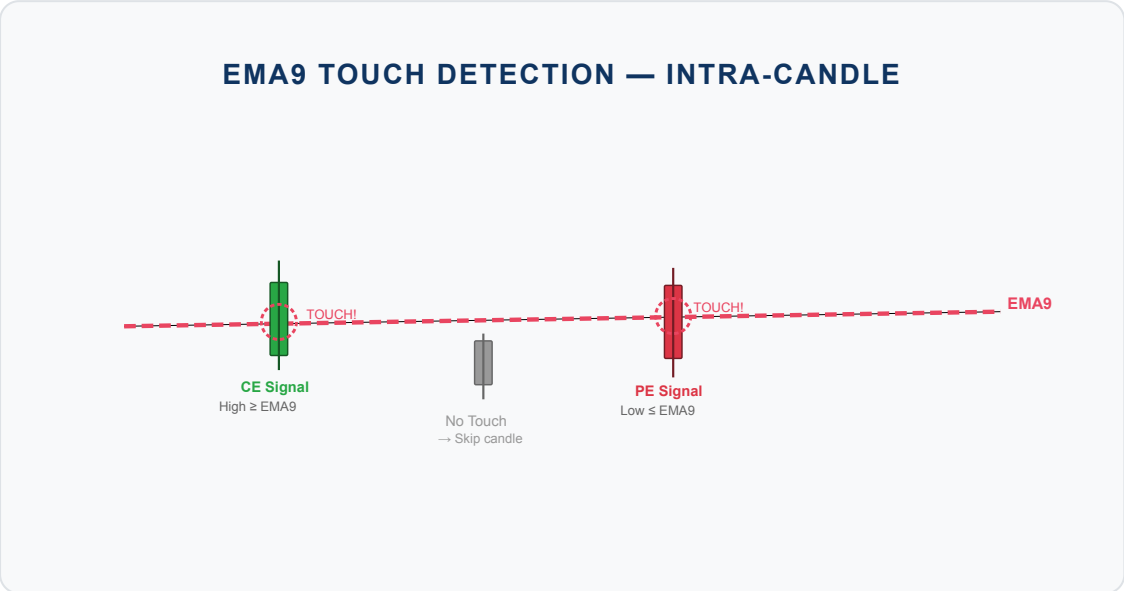
1	**EMA9 Touch** 🖐️	CE: Candle High ≥ EMA9 | PE: Candle Low ≤ EMA9 (intra-candle trigger)	▶
2	**SAR Position** ⊕	CE: SAR below price (trend=1) | PE: SAR above price (trend=-1) or Bull Override	▶
3	**EMA9 Slope** 📐	CE: Slope ≥ +6 pts | PE: Slope ≤ −6 pts (prevents flat/drifting EMA entries)	▶
4	**Trend Filters** 📊	CE: Close > EMA30 AND EMA9 > EMA21 | PE: Close < EMA30 AND EMA9 < EMA21	▶
5	**Candle Body** 🕯️	CE: Close > Open AND body ≥ 10pts | PE: Close < Open AND body ≥ 10pts	▶

6	**SAR Distance** 📏	Min: 45 pts gap | Max: 200 pts gap (entry price to SAR SL)	▶
7	**ADX Strength** 💪	ADX ≥ 25 — only enter when a clear trend is established	▶
8	**RSI Momentum** 🎯	CE: RSI > 52 | PE: RSI < 48 — confirms directional momentum	▶
9	**VIX Filter** 🌊	VIX ≤ 20 to enter | VIX > 16: only STRONG signals allowed	▶
✓	**ENTRY CONFIRMED**	Place order → CE or PE option at ATM strike	🚀

Key Insight: Gates are evaluated in sequence. Early gates (EMA9 touch, SAR) are cheap checks. Expensive checks (ADX, VIX API call) come last. This keeps tick processing fast.

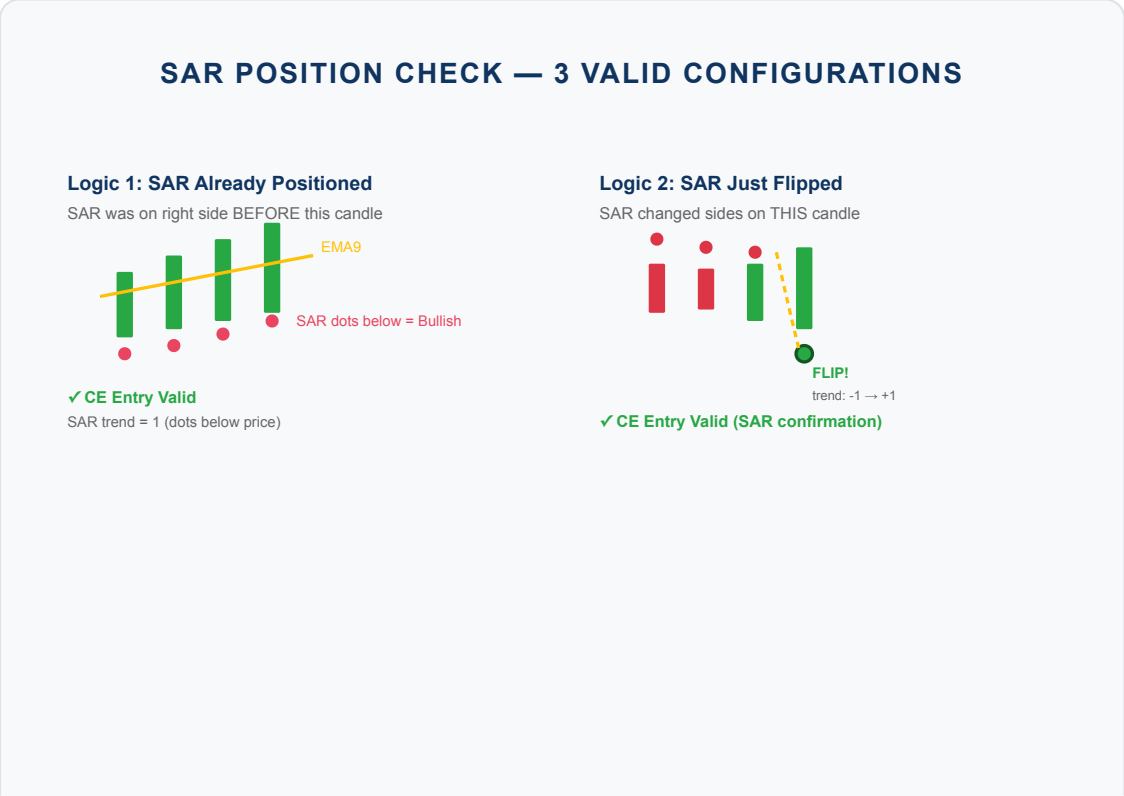
2. Entry Gates — Detailed Breakdown

Gate 1: EMA9 Touch (Primary Trigger)



The EMA9 is calculated on **OHLC4** (average of open, high, low, close) — making it smoother than a close-only EMA. The touch is checked on every tick (intra-candle), allowing faster entries for STRONG signals.

Gate 2: SAR Position — Three Entry Logics



Logic 3: SAR Bull Override (PE Only — Special Case)

SAR still bullish but strong downward momentum detected → Use EMA9 as SL instead of SAR

Conditions:
SAR trend = 1 (still bull)
EMA9 slope ≤ -6

+

Momentum:
Close < EMA9
RSI < 42

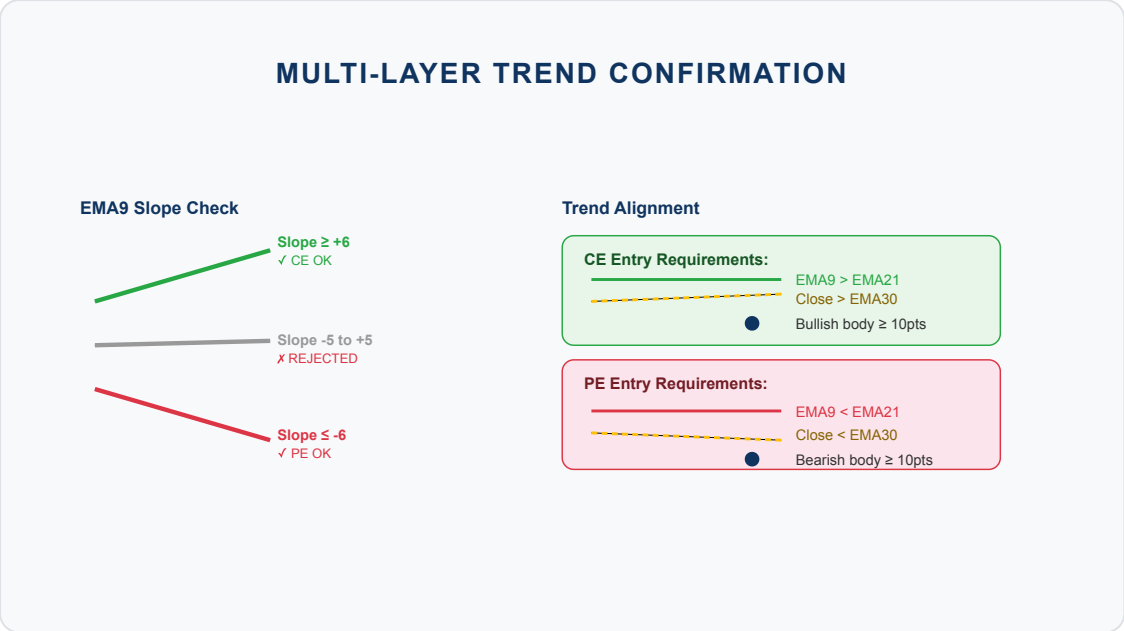
+

SAR Lagging:
(Close - SAR) > 50 pts
SAR too far to use as SL

→

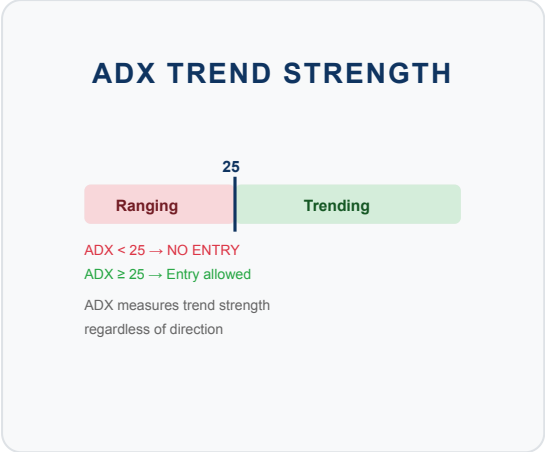
✓ PE Entry with EMA9 SL
SL = EMA9 (not SAR)

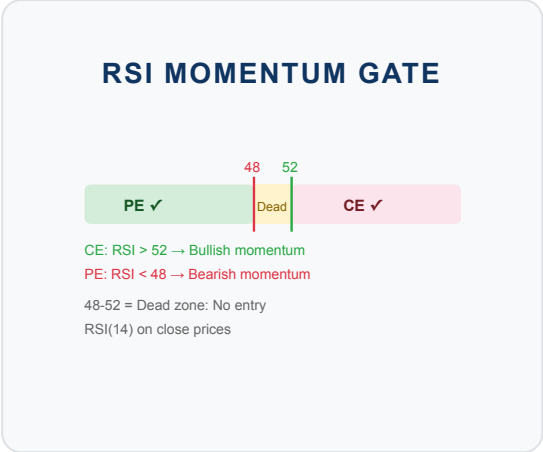
Gate 3-5: Slope, Trend & Candle Quality

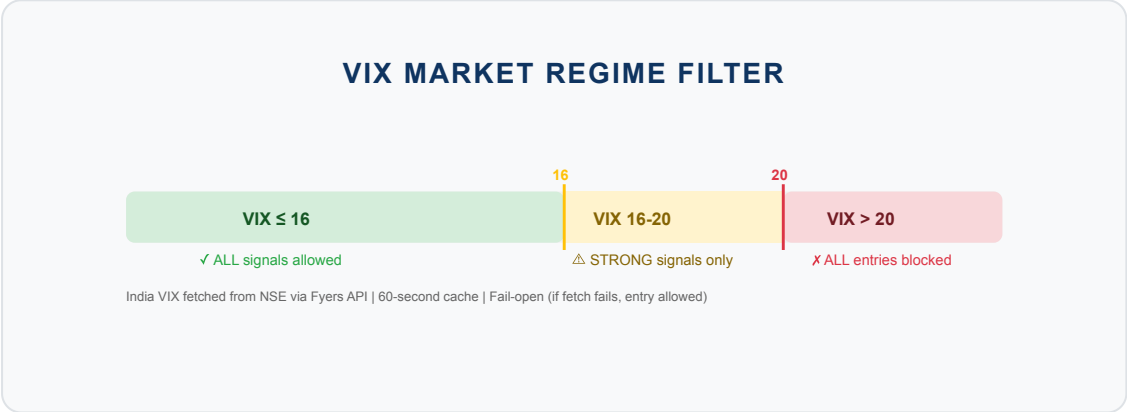


Gate 6: SAR Distance Window

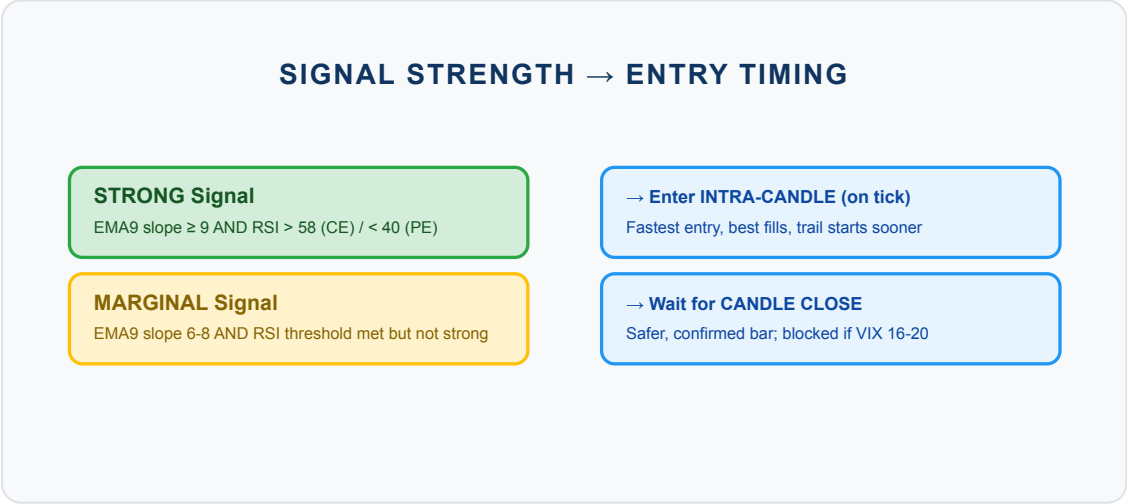
Gates 7-9: ADX, RSI & VIX





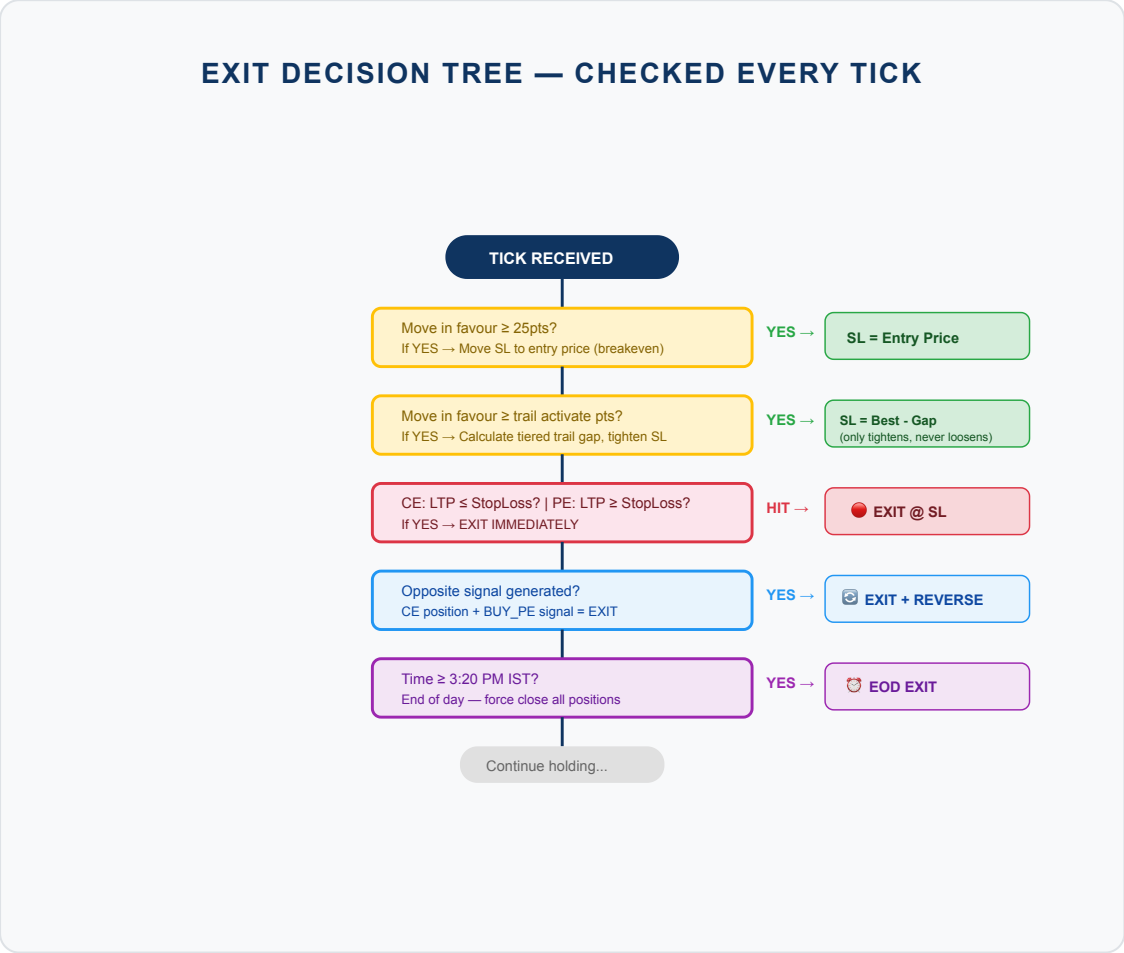


Signal Strength Classification



3. Exit Logic — Priority-Ordered Flow

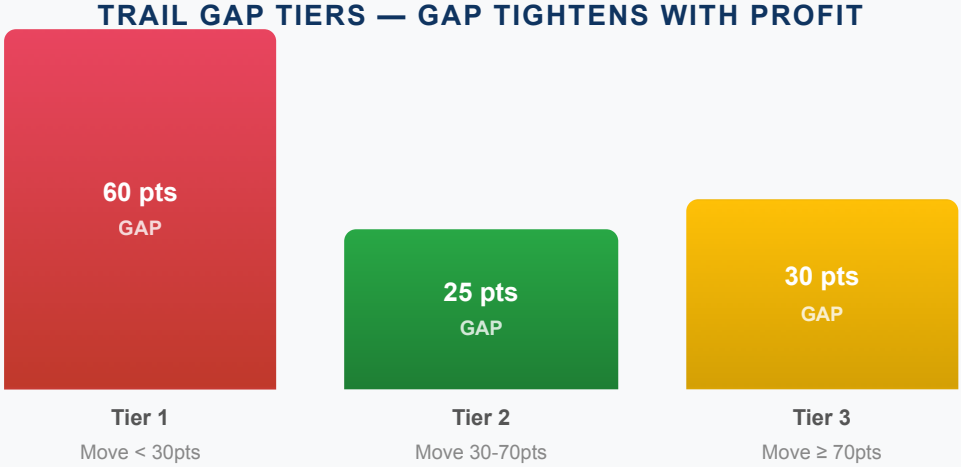
Exits are evaluated on **every tick**. The first matching condition exits the trade. Higher priority exits are checked first.



3.1 Trailing Stop Loss — Tiered Dynamic Gap

The trailing SL uses a **3-tier dynamic gap system** that tightens as profit grows, maximizing profit capture while giving early trades room to breathe.

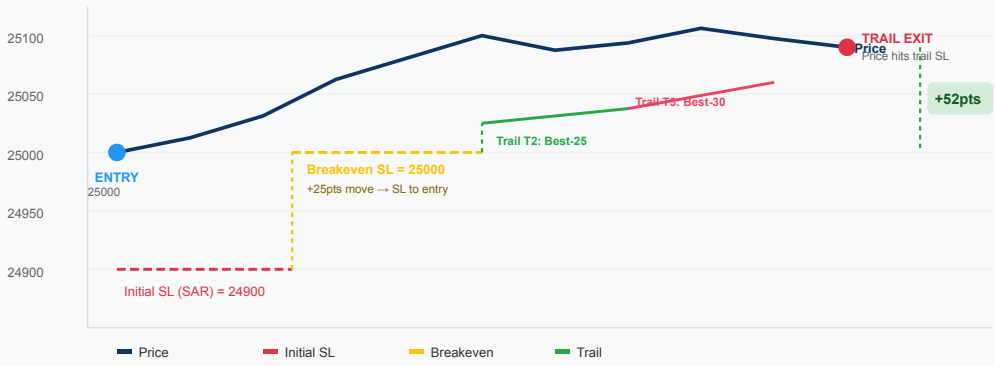
TRAIL GAP TIERS — GAP TIGHTENS WITH PROFIT



Why Tier 3 widens slightly (30 vs 25)? Big moves often retrace 25-30pts before continuing. A 25pt gap at +70pts would get stopped out on a normal pullback. The 30pt gap gives room for healthy retracement while still locking in 40+ pts of profit.

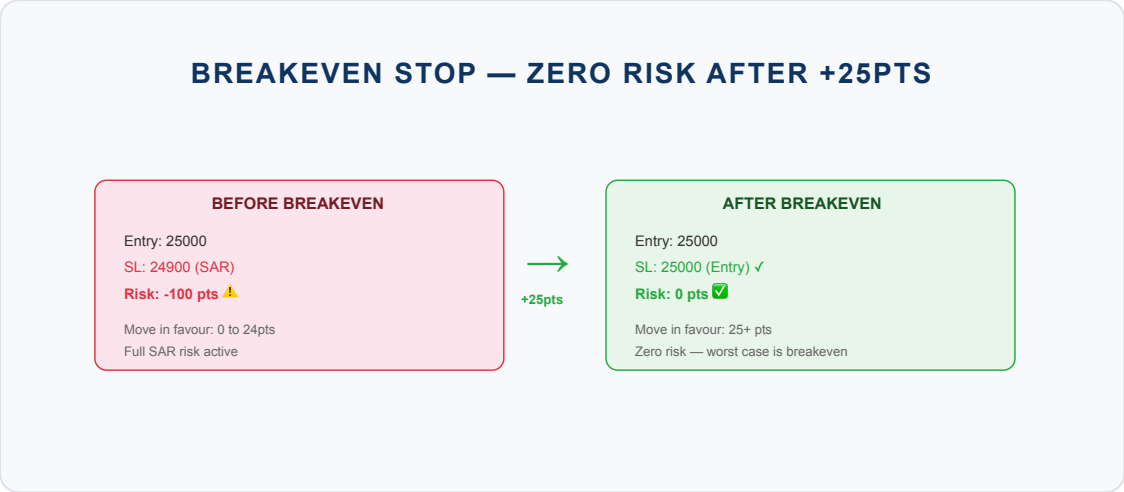
3.2 SL Movement Through Trade Lifecycle

EXAMPLE: CE TRADE — SL EVOLUTION OVER TIME



> **Trail Activation Point** is dynamic per trade: `trailActivatePts = min(max(SARgap × 0.25, 12), 40)`. For a 50pt SAR gap, trail activates at 12pts of favorable move. For a 160pt SAR gap, trail activates at 40pts.

3.3 Breakeven Stop — Detailed Mechanics



3.4 EOD & Re-entry Rules

SL Re-entry Block: If SL hit on a candle (pure loss, no trail), re-entry on the SAME candle is blocked. Prevents revenge trading on noise.

Trail SL Exit: If trail was active when SL hit, re-entry IS allowed on next signal. The trade captured some profit — new signal may be valid.

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